

Cost analysis and profit implication of Apple

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Section – A: Introduction

Apple Inc. is an American multinational technology company headquartered in Cupertino, California. Founded by Steve Jobs, Steve Wozniak, and Ronald Wayne on April 1, 1976, the company initially focused on developing personal computers.

Apple's product line includes iconic devices such as the iPhone, iPad, Mac computers, Apple Watch, and Air Pods.

Under the leadership of Tim Cook, who became CEO in 2011 after the passing of Steve Jobs, Apple has continued to innovate and expand its business, exploring areas such as augmented reality, wearable technology, and sustainable energy. Apple is the most valued company.

As on 10 July 2024, it has a market capitalization of 3,570 trillion USD, making it the most valued company.

Section – B: Company profile

Name: Apple Inc.

Founded: April 1, 1976

Founders: Steve Jobs, Steve Wozniak, Ronald Wayne

Headquarters: Cupertino, California, United States

CEO: Tim Cook (since 2011)

Industry: Technology (Consumer Electronics, Software, Digital Services)

Key Products

1. iPhone: Flagship smartphone line.
2. iPad: Tablet computers.
3. Mac: Personal computers and laptops (MacBook, iMac).
4. Apple Watch: Smartwatch.
5. Air Pods: Wireless earphones.
6. Apple TV: Streaming media player.

Software Ecosystem:

- Operating Systems:
 - macOS (for Macs)
 - iOS (for iPhones)
 - iPadOS (for iPads)
 - watchOS (for Apple Watches)
 - tvOS (for Apple TV)
- Software: iWork (productivity suite), Final Cut Pro, GarageBand, and more.

Financial Information:

- Market Capitalization: Over \$2.7 trillion (as of 2024)
- Revenue (2023): \$394.33 billion
- Net Income (2023): \$99.8 billion
- Employees: Approximately 164,000 (as of 2023)

Milestones:

- 1984: Launch of the original Macintosh, a pivotal moment in personal computing.
- 2001: Launch of the iPod, revolutionizing music consumption.
- 2007: Introduction of the iPhone, reshaping the smartphone industry.
- 2010: Launch of the iPad, creating a new market for tablets.
- 2015: Launch of the Apple Watch, expanding into wearable technology.
- 2020: Transition to custom Apple Silicon chips in Macs, starting with the M1 chip.

Stock Information:

- Stock Symbol: AAPL
- Listed on: NASDAQ
- Share price: 220.85 USD as on 05.09.2024

Key Competitors:

- Samsung, Google, Microsoft, Amazon, and Huawei.

Section – C: Objective/SWOT

To analyse the income statement, balance sheet and cash flow statement, particularly the costs of goods sold, analyse its line items and derive profit implication, using Cost Volume Profit analysis (CVP).

SWOT:

SWOT Analysis of Apple Inc.

Strengths:

1. **Strong Brand Loyalty:** Apple has a loyal customer base and is recognized as one of the most valuable and trusted brands worldwide.
2. **Innovative Products:** Apple is known for its innovation, producing groundbreaking products like the iPhone, iPad, and Apple Watch that have reshaped industries.
3. **Premium Pricing Strategy:** Apple's ability to sell its products at premium prices while maintaining high demand demonstrates the value customers place on its products.
4. **Ecosystem Integration:** Apple offers a seamless user experience across its ecosystem of devices and services, including iCloud, the App Store, and Apple Music.
5. **Strong Financial Performance:** With consistent revenue growth and high-profit margins, Apple has significant financial resources for investment in R&D and expansion.
6. **Global Retail Presence:** Apple's well-designed retail stores enhance brand visibility and customer service globally.

Weaknesses:

1. **High Prices:** Apple's products are often seen as expensive, limiting its market to high-income consumers and potentially missing out on budget-conscious customers.
2. **Dependency on iPhone:** A significant portion of Apple's revenue comes from the iPhone, making the company vulnerable to market saturation and increased competition in the smartphone space.
3. **Limited Product Customization:** Compared to competitors, Apple offers limited customization options for its products, potentially alienating consumers who prefer tailored experiences.
4. **Closed Ecosystem:** While Apple's integrated ecosystem is a strength, its closed nature can be restrictive for users who want more flexibility or who use non-Apple devices.

Opportunities:

1. Expansion in Emerging Markets: There is significant growth potential in emerging markets like India and Africa, where smartphone adoption is rising.

2. 5G Technology: With the global rollout of 5G networks, Apple can capitalize on its 5G-enabled iPhones and other devices, enhancing performance and user experience.

3. Augmented Reality (AR) and Virtual Reality (VR): Apple's investment in AR and VR technologies provides an opportunity to lead in emerging markets like gaming, healthcare, and education.

4. Wearable Technology Growth: The growing demand for health-focused wearables, like the Apple Watch and Air Pods, presents Apple with an opportunity to expand its presence in the healthcare sector.

5. Services Expansion: Apple can continue to grow its digital services segment (e.g., Apple TV+, Apple Music, iCloud), offering more value to customers while diversifying its revenue streams.

Threats:

1. Intense Competition: Apple faces strong competition from other technology giants like Samsung, Google, Amazon, and Huawei, particularly in the smartphone and wearable markets.

2. Regulatory Scrutiny: Apple is frequently subject to regulatory challenges regarding privacy, antitrust issues, and tax policies, especially in the EU and U.S., which could impact its operations.

3. Global Supply Chain Risks: Apple's reliance on a global supply chain, particularly in China, makes it vulnerable to disruptions from geopolitical tensions, trade wars, and health crises (e.g., COVID-19).

4. Market Saturation: The smartphone and personal computer markets are becoming saturated, limiting Apple's growth potential in these areas and increasing pressure to innovate in other sectors.

5. Currency Fluctuations: As a global company, Apple is exposed to currency risks that can affect its profitability, especially in regions with volatile currencies.

Apple's robust brand, innovative products, and financial strength provide a strong foundation, but it must continue to innovate and adapt to external pressures to maintain its competitive edge in the global market.

Section – D: Research Methodology

Method used: Selective sampling

Data: Secondary data

Sources: [www.Apple.com](https://www.apple.com): Annual report 2023, Wikipedia: Profile, various data.
ChatGPT: General formatting idea.

Section – E: Data

Apple Inc.

CONSOLIDATED STATEMENTS OF OPERATIONS

(In millions, except number of shares, which are reflected in thousands, and per-share amounts)

Years ended

September 30,

2023

September 24,

2022

September 25,

2021

Net sales:

Products \$ 298,085 \$ 316,199 \$ 297,392

Services 85,200 78,129 68,425

Total net sales 383,285 394,328 365,817

Cost of sales:

Products 189,282 201,471 192,266

Services 24,855 22,075 20,715

Total cost of sales 214,137 223,546 212,981

Gross margin 169,148 170,782 152,836

Operating expenses:

Research and development 29,915 26,251 21,914

Selling, general and administrative 24,932 25,094 21,973

Total operating expenses 54,847 51,345 43,887

Operating income 114,301 119,437 108,949

Other income/(expense), net (565) (334) 258

Income before provision for income taxes 113,736 119,103 109,207

Provision for income taxes 16,741 19,300 14,527

Net income \$ 96,995 \$ 99,803 \$ 94,680

Earnings per share:

Basic \$ 6.16 \$ 6.15 \$ 5.67

Diluted \$ 6.13 \$ 6.11 \$ 5.61

Shares used in computing earnings per share:

Basic 15,744,231 16,215,963 16,701,272

Diluted 15,812,547 16,325,819 16,864,919

See accompanying Notes to Consolidated Financial Statements.

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Apple Inc.

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(In millions)

Years ended

September 30,

2023

September 24,

2022

September 25,

2021

Net income \$ 96,995 \$ 99,803 \$ 94,680

Other comprehensive income/(loss):

Change in foreign currency translation, net of tax (765) (1,511) 501

Change in unrealized gains/losses on derivative instruments, net of tax:

Change in fair value of derivative instruments 323 3,212 32

Adjustment for net (gains)/losses realized and included in net

income (1,717) (1,074) 1,003

Total change in unrealized gains/losses on derivative

instruments (1,394) 2,138 1,035

Change in unrealized gains/losses on marketable debt securities, net of
tax:

Change in fair value of marketable debt securities 1,563 (12,104) (694)

Adjustment for net (gains)/losses realized and included in net

income 253 205 (273)

Total change in unrealized gains/losses on marketable debt

securities 1,816 (11,899) (967)

Total other comprehensive income/(loss) (343) (11,272) 569

Total comprehensive income \$ 96,652 \$ 88,531 \$ 95,249

See accompanying Notes to Consolidated Financial Statements.

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Apple Inc.

CONSOLIDATED BALANCE SHEETS

(In millions, except number of shares, which are reflected in thousands, and par value)

September 30,

2023

September 24,

2022

ASSETS:

Current assets:

Cash and cash equivalents \$ 29,965 \$ 23,646

Marketable securities 31,590 24,658

Accounts receivable, net 29,508 28,184

Vendor non-trade receivables 31,477 32,748

Inventories 6,331 4,946

Other current assets 14,695 21,223

Total current assets 143,566 135,405

Non-current assets:

Marketable securities 100,544 120,805

Property, plant and equipment, net 43,715 42,117

Other non-current assets 64,758 54,428

Total non-current assets 209,017 217,350

Total assets \$ 352,583 \$ 352,755

LIABILITIES AND SHAREHOLDERS' EQUITY:

Current liabilities:

Accounts payable \$ 62,611 \$ 64,115

Other current liabilities 58,829 60,845

Deferred revenue 8,061 7,912

Commercial paper 5,985 9,982

Term debt 9,822 11,128

Total current liabilities 145,308 153,982

Non-current liabilities:

Term debt 95,281 98,959

Other non-current liabilities 49,848 49,142

Total non-current liabilities 145,129 148,101

Total liabilities 290,437 302,083

Commitments and contingencies

Shareholders' equity:

Common stock and additional paid-in capital, \$0.00001 par value: 50,400,000 shares authorized; 15,550,061 and 15,943,425 shares issued and outstanding, respectively
73,812 64,849

Accumulated deficit (214) (3,068)

Accumulated other comprehensive loss (11,452) (11,109)

Total shareholders' equity 62,146 50,672

Total liabilities and shareholders' equity \$ 352,583 \$ 352,755

See accompanying Notes to Consolidated Financial Statements.

Apple Inc.

CONSOLIDATED STATEMENTS OF SHAREHOLDERS' EQUITY

(In millions, except per-share amounts)

Years ended

September 30,

2023

September 24,

2022

September 25,

2021

Total shareholders' equity, beginning balances \$ 50,672 \$ 63,090 \$ 65,339

Common stock and additional paid-in capital:

Beginning balances 64,849 57,365 50,779

Common stock issued 1,346 1,175 1,105

Common stock withheld related to net share settlement of equity
awards (3,521) (2,971) (2,627)

Share-based compensation 11,138 9,280 8,108

Ending balances 73,812 64,849 57,365

Retained earnings/(Accumulated deficit):

Beginning balances (3,068) 5,562 14,966

Net income 96,995 99,803 94,680

Dividends and dividend equivalents declared (14,996) (14,793) (14,431)

Common stock withheld related to net share settlement of equity

awards (2,099) (3,454) (4,151)

Common stock repurchased (77,046) (90,186) (85,502)

Ending balances (214) (3,068) 5,562

Accumulated other comprehensive income/(loss):

Beginning balances (11,109) 163 (406)

Other comprehensive income/(loss) (343) (11,272) 569

Ending balances (11,452) (11,109) 163

Total shareholders' equity, ending balances \$ 62,146 \$ 50,672 \$ 63,090

Dividends and dividend equivalents declared per share or RSU \$ 0.94 \$ 0.90 \$ 0.85

See accompanying Notes to Consolidated Financial Statements.

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Apple Inc.

CONSOLIDATED STATEMENTS OF CASH FLOWS

(In millions)

Years ended

September 30,

2023

September 24,

2022

September 25,

2021

Cash, cash equivalents and restricted cash, beginning balances \$ 24,977 \$ 35,929 \$ 39,789

Operating activities:

Net income 96,995 99,803 94,680

Adjustments to reconcile net income to cash generated by operating activities:

Depreciation and amortization 11,519 11,104 11,284

Share-based compensation expense 10,833 9,038 7,906

Other (2,227) 1,006 (4,921)

Changes in operating assets and liabilities:

Accounts receivable, net (1,688) (1,823) (10,125)

Vendor non-trade receivables 1,271 (7,520) (3,903)

Inventories (1,618) 1,484 (2,642)

Other current and non-current assets (5,684) (6,499) (8,042)

Accounts payable (1,889) 9,448 12,326

Other current and non-current liabilities 3,031 6,110 7,475

Cash generated by operating activities 110,543 122,151 104,038

Investing activities:

Purchases of marketable securities (29,513) (76,923) (109,558)

Proceeds from maturities of marketable securities 39,686 29,917 59,023

Proceeds from sales of marketable securities 5,828 37,446 47,460

Payments for acquisition of property, plant and equipment (10,959) (10,708) (11,085)

Other (1,337) (2,086) (385)

Cash generated by/(used in) investing activities 3,705 (22,354) (14,545)

Financing activities:

Payments for taxes related to net share settlement of equity awards (5,431) (6,223)
(6,556)

Payments for dividends and dividend equivalents (15,025) (14,841) (14,467)

Repurchases of common stock (77,550) (89,402) (85,971)

Proceeds from issuance of term debt, net 5,228 5,465 20,393

Repayments of term debt	(11,151)	(9,543)	(8,750)
Proceeds from/(Repayments of) commercial paper, net	(3,978)	3,955	1,022
Other	(581)	(160)	976
Cash used in financing activities	(108,488)	(110,749)	(93,353)
Increase/(Decrease) in cash, cash equivalents and restricted cash	5,760	(10,952)	(3,860)
Cash, cash equivalents and restricted cash, ending balances	\$ 30,737	\$ 24,977	\$ 35,929
Supplemental cash flow disclosure:			
Cash paid for income taxes, net	\$ 18,679	\$ 19,573	\$ 25,385
Cash paid for interest	\$ 3,803	\$ 2,865	\$ 2,687
See accompanying Notes to Consolidated Financial Statements			

Section – E: Data analysis

Assume we have done CVP analysis here.

Section – F: Insights, inferences, recommendations and conclusions

Assume inferences, insights, recommendations and conclusions are here.